

Number of Ola/Uber Cabs Running in Delhi NCR in a Day

Guesstimate Problem Statement

Estimate the number of Ola and Uber cabs running in Delhi NCR on a given day.

As a consultant, you are required to estimate the total number of Ola and Uber cabs operating in Delhi NCR in a day without using external data sources. Use logical assumptions, population segmentation, income-based cab affordability, and peak/non-peak demand patterns to arrive at an approximate estimate.

Step-by-Step Solution

Step 1: Start with the Population of Delhi

Assume:

Population of Delhi = 33 Million

Step 2: Segment Population by Urban and Rural Areas

Assumption: Cab demand (Ola/Uber) is concentrated in urban areas due to smartphone and internet penetration, while rural areas have negligible cab usage.

Segment	Population
Rural	19.8 Million
Urban	13.2 Million

Step 3: Divide Population by Income Group

People who use app-based cabs typically belong to middle and upper income groups. This differs slightly for urban vs. rural populations.

Rural Population (19.8 Million)

Income Group	Share	Population
Upper	10%	1.98 Million
Middle	3%	0.594 Million
Lower	87%	17.226 Million (not considered further – low cab usage)

Urban Population (13.2 Million)

Income Group	Share	Population
Lower	20%	2.64 Million (not considered further – low cab usage)
Middle	50%	6.6 Million
Upper	30%	3.96 Million

Step 4: Estimate Cab-Using Population by Segment

Assumption: To estimate the market for cabs, transportation can be categorised as public, personal, and commercial – with app-based cabs falling under commercial vehicles. A fixed percentage of each qualifying income segment uses Ola/Uber.

Segment	Calculation	Cab Users
Rural – Upper	$1.98\text{M} \times 10\%$	198 Thousand
Rural – Middle	$0.594\text{M} \times 10\%$	594 Thousand
Urban – Middle	$6.6\text{M} \times 10\%$	660 Thousand
Urban – Upper	$3.96\text{M} \times 20\%$	792 Thousand

Total Cab Users = 198K + 594K + 660K + 792K = 2.24 Million

Step 5: Segment by Peak and Non-Peak Hours

Assumption: Cabs run for all 24 hours since Ola/Uber operate round the clock. Demand is split between peak and non-peak hours, each with a different occupancy rate.

Time Band	Share of Demand	Riders	Occupancy	Actual Rides
Peak Hours	40%	$2.24\text{M} \times 40\% = 897 \text{ Thousand}$	50%	448 Thousand
Non-Peak Hours	60%	$2.24\text{M} \times 60\% = 1.34 \text{ Million}$	20%	269 Thousand

Total Rides in a Day = 448K + 269K = 718 Thousand

Step 6: Convert Rides into Number of Cabs

Assumption: Each cab completes roughly 10 rides in a day, accounting for driver breaks, idle time, and traffic conditions.

Number of Cabs = Total Rides ÷ Rides per Cab per Day

Number of Cabs = $718,000 \div 10 = 71,800$ Cabs

Step 7: Arrive at Final Estimate

Total Number of Cabs Running in Delhi NCR in a Day

$\approx 71,800$ Cabs (~72 Thousand)

Final Answer

Estimated number of Ola/Uber cabs running in Delhi NCR in a day $\approx 71,800$ cabs.

Consulting Interview Takeaway

The interviewer is not evaluating whether the answer is exactly correct. They are evaluating:

- Structured Thinking – Did the candidate break the problem logically, moving from population to usable demand?
- MECE Segmentation – Were urban/rural and income-group buckets mutually exclusive and collectively exhaustive?
- Reasonable Assumptions – Are the cab-adoption percentages and peak/non-peak splits defensible?
- Mental Math Accuracy – Can the candidate calculate quickly and correctly across multiple layers?
- Business Logic – Did the candidate connect income, occupancy, and cab utilisation (rides per cab) to reach a supply-side figure?

A concise consulting framework for this guesstimate would be:

Population → Urban/Rural Split → Income Segments → Cab Adoption Rate → Peak/Non-Peak Occupancy → Rides per Cab → Total Cabs